Illustration 3

Bharath Ltd. issued 1,00,000 equity shares of ₹ 10 each to the public at par. The details of the amount payable on the shares are as follows:

On application	₹ 5 per share
On allotment	₹ 3 per share
On first and final call	₹ 2 per share

Application money was received for 1,20,000 shares. Excess application money was refunded immediately. Pass journal entries to record the above.

Solution

In the books of Bharath Ltd.

Journal entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Bank A/c (1,20,000 × 5)	Dr.		6,00,000	
	To Equity share application A/c				6,00,000
	(Application money received)				
	Equity share application A/c (1,00,000 × 5)	Dr.		5,00,000	
	To Equity share capital A/c				5,00,000
	(Transfer of share application money to share capital)				
	Equity share application A/c (20,000 × 5)	Dr.		1,00,000	
	To Bank A/c				1,00,000
	(Excess share application money refunded)				
	Equity share allotment A/c	Dr.		3,00,000	
	To Equity share capital A/c				3,00,000
	(Share allotment money due)				
	Bank A/c	Dr.		3,00,000	
	To Equity share allotment A/c				3,00,000
	(Allotment money received)				
	Equity share first and final call A/c	Dr.		2,00,000	
	To Equity share capital A/c				2,00,000
	(Share first and final call money due)				
	Bank A/c	Dr.		2,00,000	
	To Equity share first and final call A/c				2,00,000
	(Share first and final call money received)				

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